Allianz

Overview for a Sustainable Future

Global Insurance Industry Overview

How the Insurance Model Works

- Insurance provides **financial protection** against specified events by **shifting potential losses to an insurer** in exchange for a premium
- Each policy defines a **premium**, **policy limit** and **deductible**: the price of coverage, the maximum payout, and the amount the customer pays before the insurer covers a claim
- When covered events occur, insurers pay claims up to the policy limit; evolving loss experience and investment conditions then feed back into pricing and product design
- Insurers collect premiums and **invest them in high-quality, diversified portfolios**

Global Scale & Growth

c.$8.0trn
Global life, P&C and health premiums in 2024

+8.6%
Global premium growth in 2024 (vs. 2023)

c.$3.7trn
Life insurance premiums in 2024 (largest segment)

+5.3% p.a.
Expected average annual growth of global premiums over the next 10 years

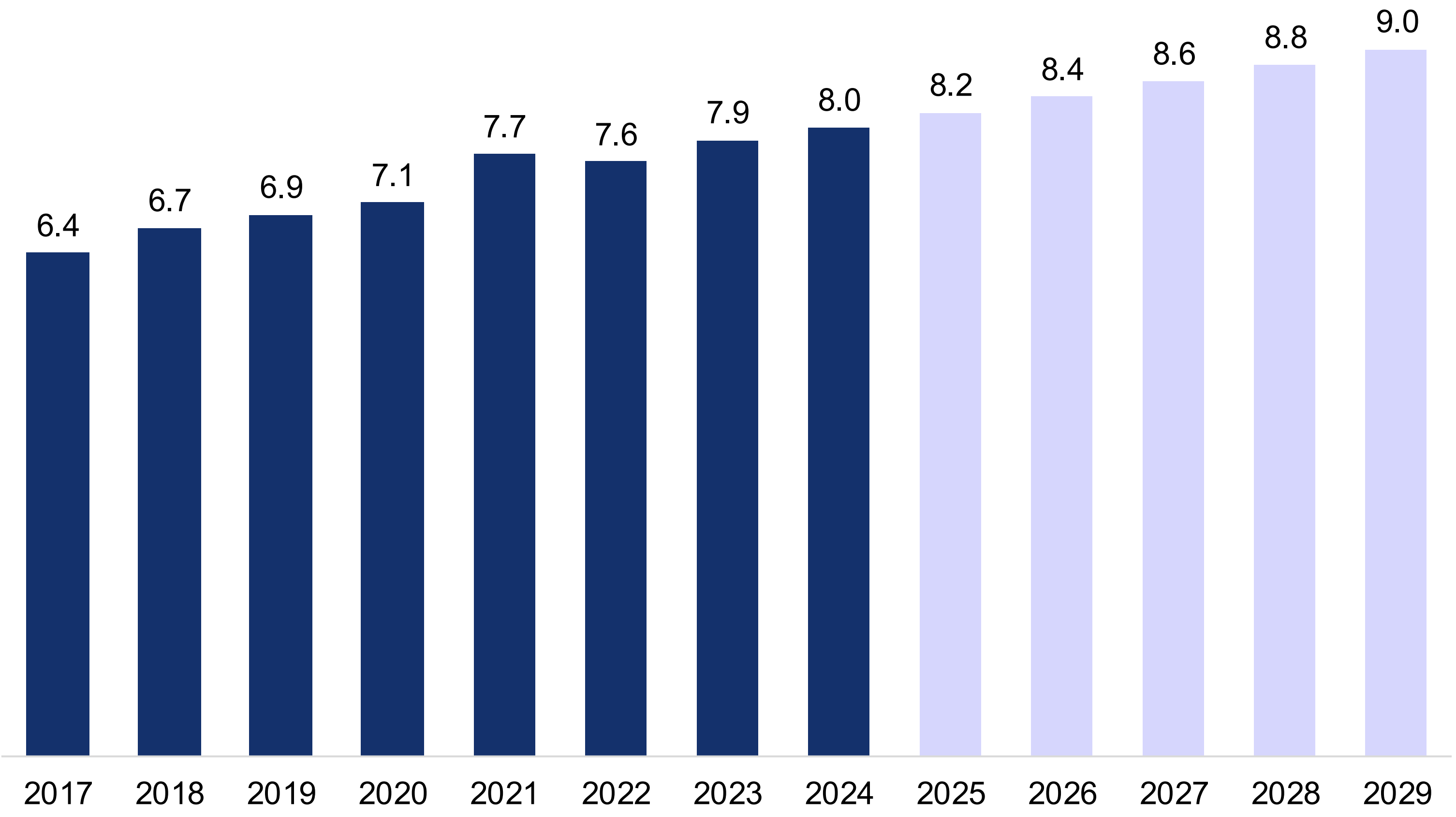
c.$1.6trn
Property & casualty (non-life) premiums in 2024

7.4%
Insurance penetration in 2024 (premiums as % of global GDP)

Sources: Allianz Economic Research, FactSet.

Market Size and Trajectory of Global Insurance

Value of Gross Written Premiums Worldwide
(USD $, trillion)



Commentary

- Global gross written premium has grown consistently, rising from $6.4tn in 2017 to **$8.0tn in 2024**
- Premium volumes are projected to increase further, reaching **$9.0tn,** representing an additional $1.0tn between 2024 and **2029**
- The global insurance sector is highly concentrated with the **United States** representing nearly **45%** of the market, followed by China (10%). The UK, Japan, France and Germany compromise the next tier, each with considerable but smaller shares

Sources: Statista.

Global Insurance Landscape

Key Drivers

- Aging populations & retirement gaps
- Growing middle class in Emerging Markets
- Digitalisation, AI & insurtech
- Regulation & mandatory covers
- **Sustainability & ESG-linked products**
- **Climate change & Natural Catastrophe (NatCat) risk**

Strategic Opportunities

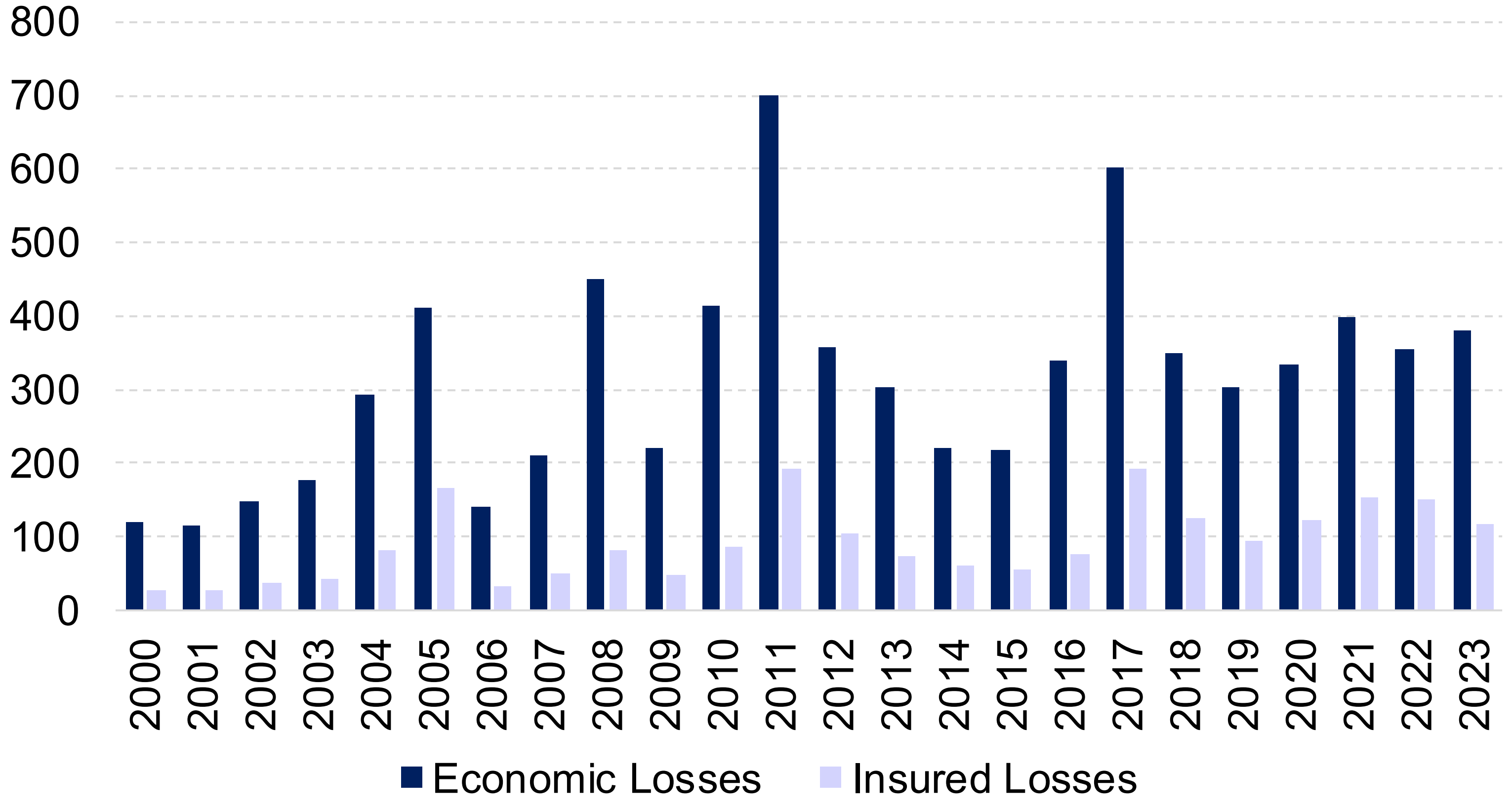
- Address significant protection shortfalls in areas such as natural catastrophes, health and pensions
- Expand innovative risk solutions (inc. cyber and climate-related) to meet growing uncertainty
- Amplify ESG and SDG impact by embedding sustainable principles in the investments

Challenges & Risks

- Affordability issues due to climate & NatCat loss inflation
- Slower global growth, market disruptions and geoeconomic fragmentation increase credit, market, liquidity and FX risks
- Cyber and AI create new operational and underwriting risks

Natural Catastrophe Losses Overview

Natural Disaster Losses Cost Worldwide 2000-2023
(USD $, billion)



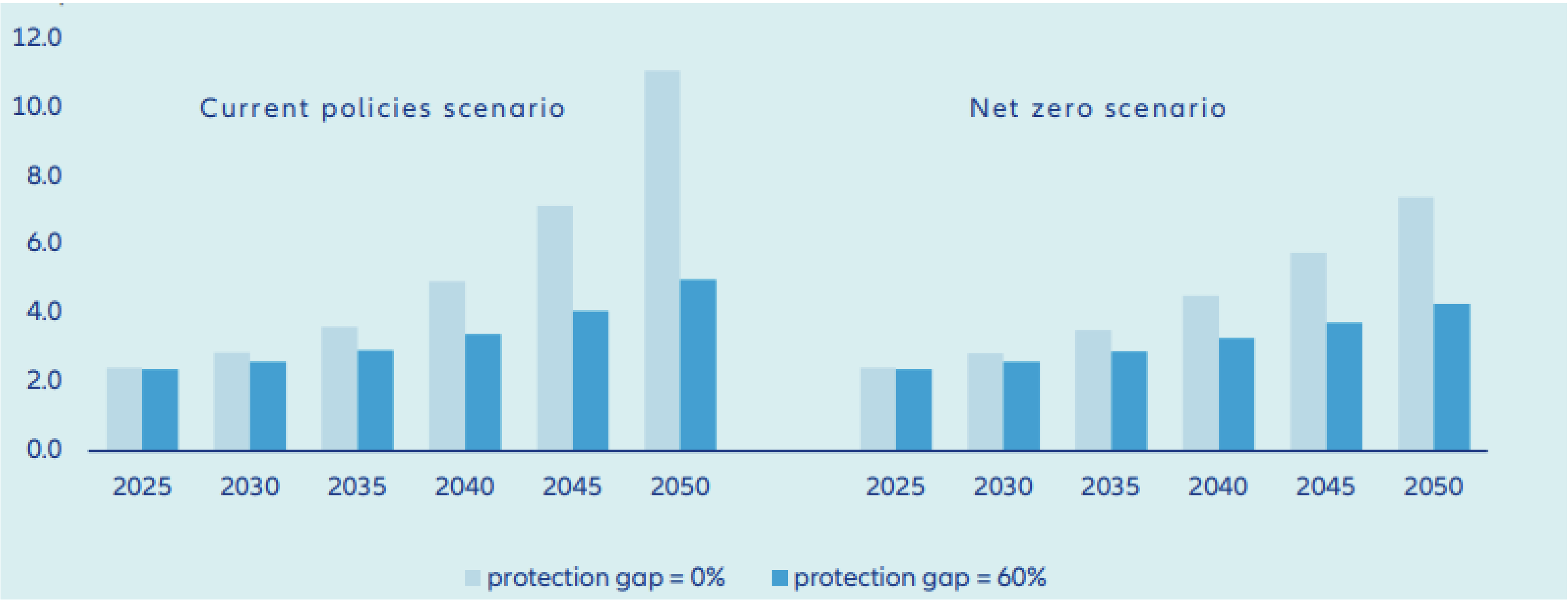
Commentary

- **Economic losses resulting from natural disasters are consistently higher than insured losses**
- In 2023, total economic losses were estimated at $380bn, while the portion covered by insurance reached only $118bn (gap of $262bn)
- Hurricane Katrina stands out as the most costly natural disaster in history, with total expenses estimated at $201bn

Sources: Statista.

Climate Change Costs Overview

Climate Change Costs in Europe
P&C premiums in % of GNI under different scenarios(1)



Commentary

- The chart shows P&C premiums as a share of GNI under current policies vs net-zero and two protection-gap assumptions (0% or 60%)
- With today's 60% protection gap, P&C premiums in could reach about 4–5% of GNI by 2050; if the gap were closed so that most climate losses are insured, premiums could climb to roughly 7-11% of GNI
- This highlights a **trade-off between resilience and affordability**

Sources: Allianz Economic Research.
Footnotes: P&C = Property & Casualty; GNI: Gross National Income.

How Can Insurance Positively Impact the SDG?

Risk Management and Underwriting

- Provide financial security against natural disasters, health emergencies and unexpected shocks
- Leverage insurance solutions to foster climate resilience, for instance by encouraging investment in robust housing and infrastructure
- Offer inclusive risk-transfer solutions for low-income and vulnerable groups, helping reduce inequalities

Investment and Asset Management

- As large institutional investors, insurers can channel capital into renewable energy, green infrastructure and sustainable cities
- Allocate funds to green bonds and impact investment vehicles
- Integrate ESG criteria into investment decisions, shifting portfolios away from high-risk, high-emission assets

Corporate Citizenship and Social Responsibility

- Run CSR programmes such as disaster preparedness, resilience training and financial literacy education in communities
- Promote social inclusion by extending insurance access to underserved and marginalised groups
- Demonstrate leadership by adopting sustainable operational practices and forging partnerships that contribute to local and global development objectives

However, insurance is only directly mentioned in one SDG target (SDG 8.10 on financial access)![(1)]

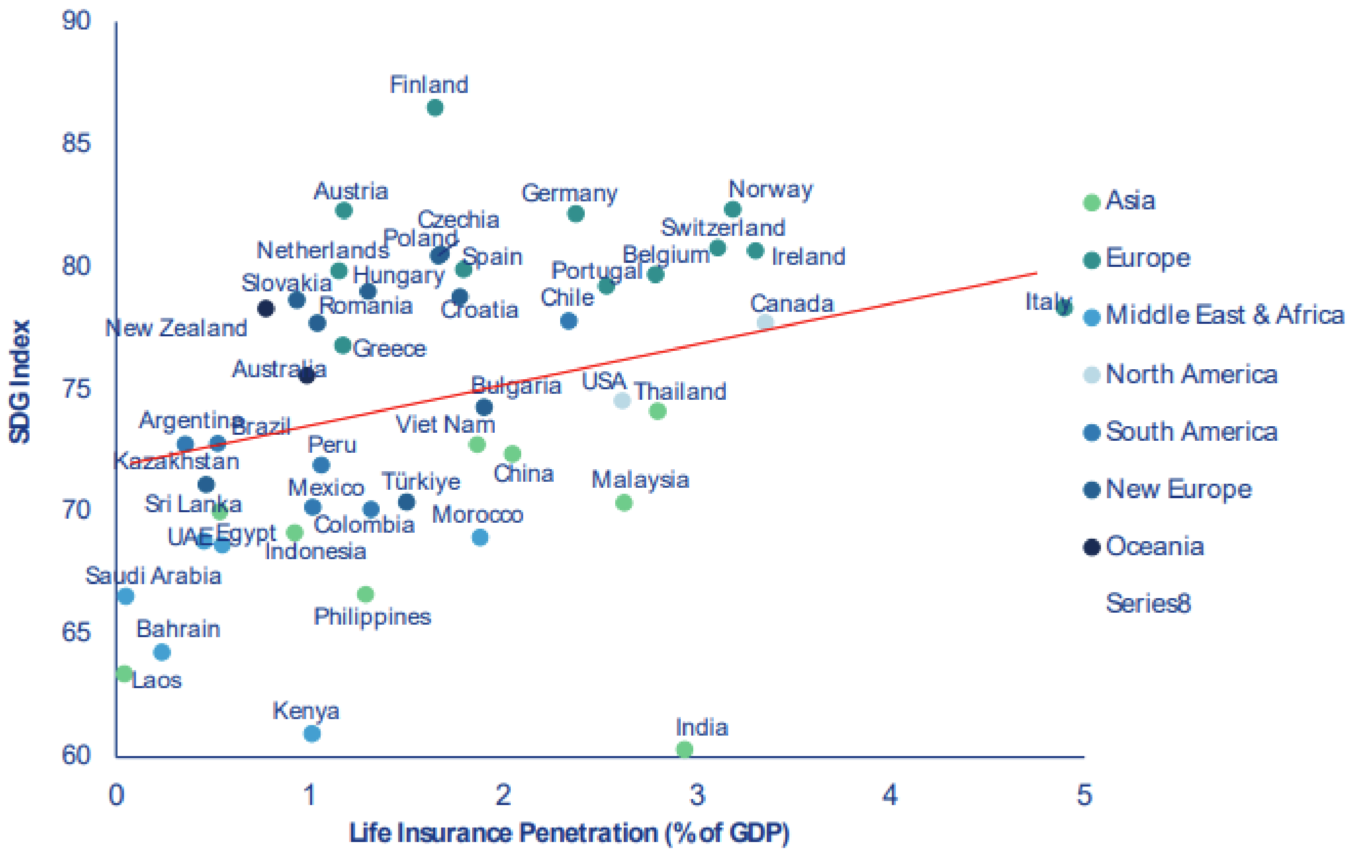
This project focuses on three material gaps for Allianz: (1) NatCat/adaptation coverage, (2) Sovereign-bond climate alignment, (3) Protection gaps for low-income customers

Sources:Holliday, S., Remizova, I., & Stewart, F. (2021). The insurance sector contribution to the SDGs. World Bank.

Footnotes: (1) Strengthen the capacity of domestic financial institutions to encourage and expand access to banking, insurance and financial services for all.

Positive Relationship Between Insurance Penetration And The SDG Index

Life Insurance Penetration and the SDGs

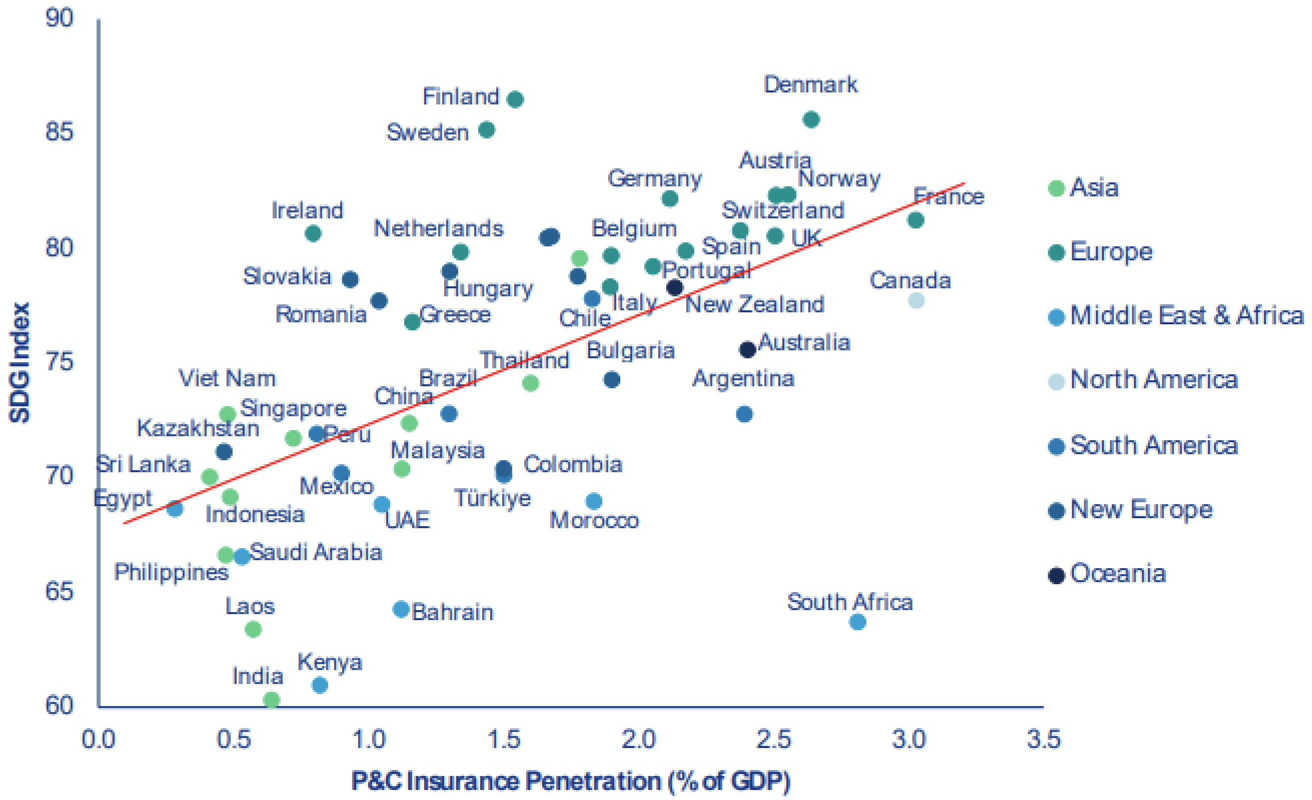


Commentary

- On average, each 1%-point increase in life insurance penetration is associated with countries moving about 1.7 points closer to SDG achievement
- This suggests that countries with higher life insurance penetration tend to have better SDG scores

Positive Relationship Between Insurance Penetration And The SDG Index

P&C Insurance Penetration and the SDGs



Commentary

- Each 1%-point increase in P&C penetration is associated with countries moving around 5.8 points closer to SDG achievement
- Countries with higher P&C insurance penetration are therefore much more likely to achieve higher SDG scores, highlighting a close connection between P&C insurance and sustainable development

Sources:Sachs et al. (2022), Allianz Research.

Allianz: Leading Global Insurer and Investor

Who Allianz Is

- Global financial services group headquartered in **Munich**, Germany
- Serves **c.128 million private and corporate customers** in almost **70 countries**
- Offers **property-casualty**, **life/health insurance** and **asset management** solutions
- Insurance operations organised into **Property-Casualty** and **Life/Health**
- Together with **Asset Management** and **Corporate & Other**, this results in **11 reportable segments**

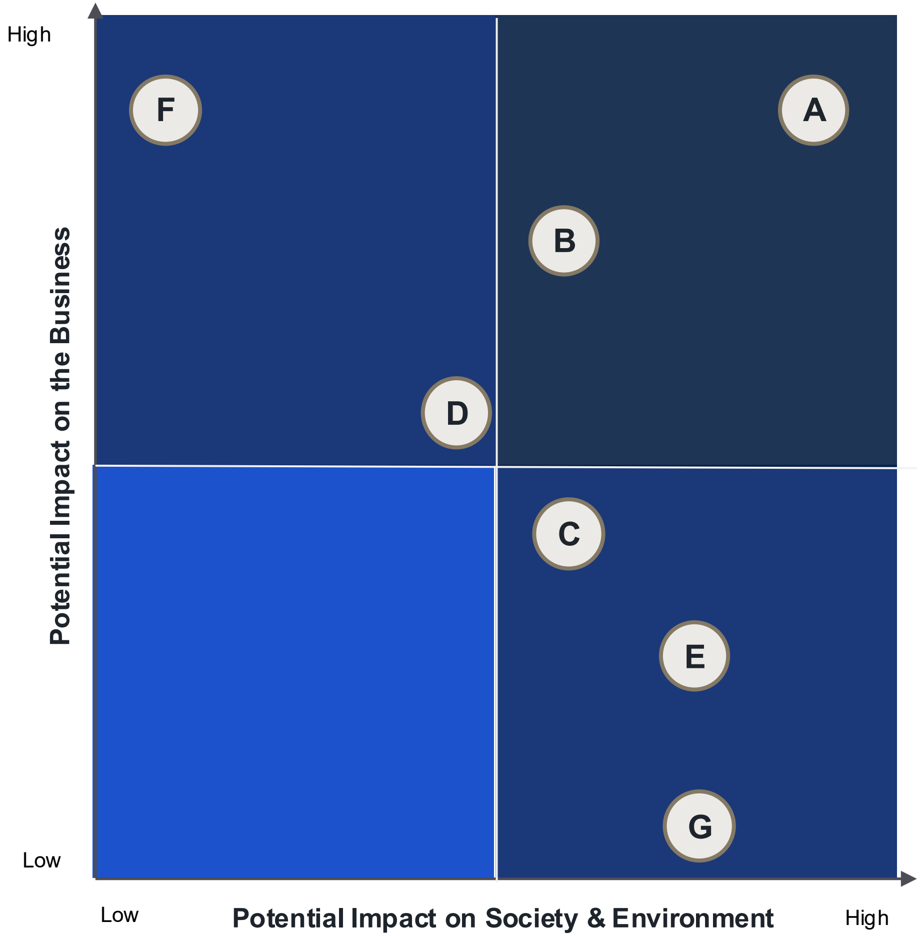
11 Reportable Segment

Property-Casualty	Covers motor, property, liability, travel and assistance for retail and corporate clients. Leading property-casualty insurer worldwide. *[Segments: German Speaking Countries & Central Europe; Western & Southern Europe, Allianz Direct & Allianz Partners; Asia Pacific; Global Insurance Lines & Anglo Markets, Iberia & Latin America, Africa]*
Life / Health	Provides life protection, savings and health products. Focused on retirement and health solutions for households and employers. Ranks among the top five in the life/health insurance business. *[Segments: German Speaking Countries & Central Europe; Western & Southern Europe; Asia Pacific; USA; Global Insurance Lines & Anglo Markets, Iberia & Latin America, Africa]*
Asset Management	Managed mainly through PIMCO and AllianzGI. Invests in equity, fixed income, multi-asset and alternatives globally. *[Segments: Asset Management]*
Corporate & Other	Hosts central Group functions and support services. Also includes banking activities and digital investment businesses. *[Segments: Corporate and Other]*

Source: Allianz Annual Report 2024.

Allianz Risk Assessment

Materiality Matrix



	Material Topics	Assessment	Comment
A	Climate Change and Climate-related Risk	*High*	**Climate-driven NatCat and transition risks** materially affect underwriting, capital and investments, under strong regulatory scrutiny
B	Cybersecurity: Customer/Data Privacy	*High*	**Safeguarding client and partner data** is critical for a digital insurer; cyber breaches can disrupt operations, trigger fines and litigation, and cause lasting damage to reputation and trust
C	Financial Inclusion	*Moderate*	**Access and affordability expectations** create regulatory and reputational pressure but also growth opportunities in new customer segments
D	Product Governance and Customer Transparency	*High*	**Suitability and transparency of products** underpin customer trust; failures lead to remediation, sales limits and enforcement
E	Biodiversity and Ecosystem Protection	*Moderate*	**Nature loss** increasingly shapes physical and transition risk in portfolios, with stakeholder and regulatory scrutiny rising over time
F	Regulatory Compliance and Reporting	*High*	**Ongoing changes in prudential, conduct and sustainability regulation** (e.g. Solvency II, CSRD, data protection, sanctions) create operational and legal risk; non-compliance leads to fines, higher capital needs, business restrictions and reputational harm
G	Community Engagement and Social Impact Programs	*Low*	**Community and financial-literacy programs** build Allianz’s social licence but have limited direct earnings impact today

Source: Based on SASB Materiality Finder for Insurance.

ESG Positioning of Major Global Sustainable Insurers

ESG Scores of The World's Largest Insurance Companies 2025 (by Provider)

	S&P Global[1]	Sustainalytics[1]	MSCI[1]
Allianz	**89**	**11.3**	**78.6**
Generali	87	15.7	92.9
AXA	85	16.3	92.9
Tokio Marine	74	19.3	78.6
Munich RE (Germany)	71	14.3	92.9
Manulife Financial	69	14.9	78.6
Swiss Re	62	12.0	92.9
Zurich Insurance Group	59	16.2	93.0

Commentary

- Allianz ranks first on the S&P Global ESG score, with 89 vs. 59–87 for the other insurers in the sample
- On Sustainalytics, Allianz's score of 11.3 places it in the "low ESG risk" bucket, ahead of peers that show higher risk scores
- MSCI scores are more tightly clustered; Allianz's 78.6 puts it in the top tier, but not as far ahead of peers as on S&P Global
- Taken together, **the three providers consistently position Allianz as an ESG leader among global insurers**

Source: Statista. Footnote: (1) ESG scores are provider-specific. For S&P Global and MSCI, higher values indicate stronger ESG performance. For Sustainalytics, scores represent an ESG Risk Rating, so lower values indicate lower unmanaged ESG risk (i.e. better).

Peer Best Practices In Sustainable Insurance

Closing The Climate Protection Gap

AXA

- **Tracks climate-risk affordability** through dedicated metrics
- **Sets protection-gap targets** for markets most exposed to NatCat risk
- **Uses country-level quantitative scoring** to identify where to expand affordable NatCat coverage

Underwriting The Net-zero Transition

Swiss Re

- **Requires high-emitting clients** (e.g. aviation, shipping, steel, cement, oil & gas) to follow **science-based decarbonization pathways** to be insured (**transition finance**)
- Publishes **exposure thresholds** and aligns underwriting with **sector-specific net-zero roadmaps**

Measuring Resilience Outcomes

ZURICH

- Runs a **global flood-resilience partnership** focused on real risk reduction
- **Tracks outcome-based metrics** (households gaining resilience, not just premiums written)
- Has **reached 90,000+ households** and **300+ communities**, with documented improvements in local resilience capacity

Sources: Axa Investment Managers, Swiss Re Sustainability Reporting, Zurich ESG integration.

What are Allianz’s current ESG policies?

Current Policies (Top) vs. Identified Gaps (Bottom)

Risk Management and Underwriting

- Offers traditional NatCat covers (storms, floods, BI) priced with **advanced NatCat models** to balance resilience vs affordability
- Commitments **to engage with 100% of top-emitting commercial clients** by 2030 as part of Allianz’s Net-Zero Transition Plan
- Commercial insurance to reach **-45% GHG emission intensity** and **+150% revenue from low-carbon solutions** vs 2019

*No disclosed **quantitative goal** for how much NatCat/adaptation cover should expand **or how affordable** it should be for vulnerable households*

Investment and Asset Management

- **Net-zero investments**: Proprietary investment portfolios committed to **net-zero GHG emissions by 2050**
- **Sustainable investments**: **€171.9bn** in sustainable investments in 2024 **(+2.7%** vs 2023)
- **Low-carbon solutions**: **€43.5bn** invested in low-carbon solutions **(+17.3%** vs 2023)

*No clear, public guidelines on **transition-finance** volumes and treatment of **sovereign bond holdings**; no explicit reduction target for **sovereign debt emissions***

Corporate citizenship and Social Responsibility

- Programmes on **diversity, inclusion, wellbeing** and employee engagement across the Group
- **Financial-inclusion** and digital / **microinsurance** initiatives to reach underserved customers
- Around **€33.3m** in 2024 corporate giving for **NGO partners** (incl. MoveNow) and **support to communities** hit by Central Europe floods

***Very limited data** on **low-income people insured**, premium-to-income ratios, or **reduction in protection gaps** for vulnerable communities*

Sources: Allianz Annual Report 2024, Allianz Sustainability Highlights

ESG Value-Creation Opportunities for Allianz Across Three Pillars

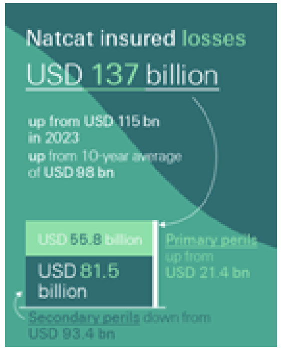
Risk Management and Underwriting	Investment and Asset Management	Corporate Citizenship and Social Responsibility
• *No quantitative target on NatCat* • *No target on adaptation coverage or affordability*	• *No Sovereign Debt Paris-Alignment Framework* • *No Transition Finance Criteria*	• *No metrics for number of low-income people insured* • *No premium-to-income ratios* • *Protection-gap reduction targets*
Set a target to **expand NatCat & adaptation coverage by +25% in high-risk regions by 2030** (*Similar to Zurich Flood Resilience scale-up; easy to measure by policy count*)	**Publish the carbon intensity of sovereign bond holdings** and **reduce it by -20% by 2030** (*AXA, Aviva and Swiss Re already disclose sovereign intensity*)	Insure **5 million low-income customers by 2030** through Emerging Consumers & digital microinsurance (*Zurich and AXA already report millions covered*)
Introduce an **affordability KPI**: keep NatCat premiums **≤5% of income** for low-income households in priority markets (*Based on AXA's affordability index and country-level protection-gap mapping*)	**Allocate €10-15bn to transition finance** (renewables, steel/shipping decarbonization, green hydrogen) by 2030 (*Swiss Re and Zurich have similar transition allocations*)	Reduce **protection gaps by 10% in five priority markets** (e.g. flood, heat, storm) by 2030 (*AXA publishes national protection-gap assessments*)

Sources: Zurich Insurance Group. Flood Resilience Program Impact Report 2023–2024, AXA Group. AXA Climate Report 2023 – Country-level climate-risk affordability indicators, OECD. Disaster Risk Financing in OECD Countries (premium-to-income <5% considered affordable).

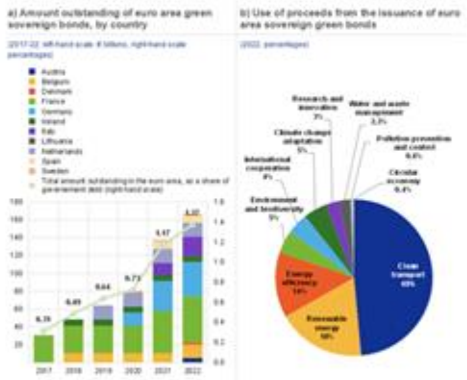
Three Core Metrics To Track Allianz's Sustainability Progress

Metric	NatCat And Adaptation Coverage Expansion	Climate Alignment And Emissions Intensity of Sovereign Bond Portfolio	Reducing Protection Gaps For Climate-vulnerable Populations
Definition	**% increase in NatCat & adaptation coverage (flood, storm, wildfire, heat) in Allianz's high-risk priority markets**	**Carbon intensity (tCO_2e per €m invested) of Allianz's sovereign bond portfolio, with additional Paris-alignment and climate-transition-risk screening**	**Protection-gap index (% of climate losses not insured) + resilience coverage (% of high-risk communities reached by literacy / early-warning / microinsurance)**
Target	**+25% increase** in active NatCat policies by 2030 (vs. 2024 baseline)	**-20% carbon intensity by 2030** vs. 2024 baseline, and increasing share of holdings aligned with a **1.5°C pathway**	**-10% protection gap** by 2030 in selected priority markets and **>5 million low-income customers insured**, with a **rising share of high-risk communities covered**
Breakdowns	Breakdowns: by market, income segment, and product type (traditional vs parametric)	By region / income level, issuer credit rating, and climate-risk category (aligned, misaligned, high transition risk)	By country, risk (flood, storm, heat, wildfire), income segment, product type (NatCat, microinsurance, parametric) and community-level resilience coverage
Data Sources	Policy admin systems, household income statistical datasets, external catastrophe-risk models	Sovereign emissions datasets, MSCI / S&P climate data, rating-agency data, Allianz investment & risk systems	NatCat loss stats; Allianz claims/exposure data; affordability & protection-gap indices; census income data; programme stats on literacy, early-warning and microinsurance reach
Frequency	**Annual public reporting**; quarterly internal monitoring	**Annual public reporting**; semi-annual internal portfolio reviews	**Annual public reporting**, with 2-year deep-dive protection-gap and community-resilience assessments

Example



Global insured losses from natural catastrophes reached USD 137 billion in 2024. The disasters contributing most to the accumulation of losses were hurricanes Helene and Milton.



AXA's For Progress Index.. Allianz can adopt a similar framework to measure a 10% protection-gap reduction and track how many low-income customers gain coverage

Sources: NatCat insured losses, Sovereign green bonds in EU, AXA for Progress Index.

Key Political & Economic Trade-offs

NatCat & Affordability Targets

- Distributional impact: A +25% NatCat/adaptation coverage goal plus a ≤5% of income affordability KPI means low-income customers **cannot** bear the full risk cost
- Who pays? Part of the cost will need to be shared through **public–private schemes**, **reinsurance**, or **cross-subsidies** within Allianz's portfolio
- Policy choice: This becomes a **political** decision about how much risk is carried by households vs. governments vs. private markets

Sovereign Debt & Transition Finance

- Tighter climate criteria for sovereign bonds can reduce portfolio emissions, but may also lower yields or clash with countries' short-term financing needs
- Allianz would need close dialogue with **treasuries, regulators** and **clients** to manage these trade-offs while still meeting its fiduciary duty

Protection Gaps & Microinsurance

- Reaching 5 million low-income customers usually requires temporary subsidies or blended finance; otherwise premiums stay unaffordable
- This links Allianz's strategy to **development-bank** and **government budgets**, not only to Allianz's own balance sheet

Proposal: 4-Step Implementation Roadmap

1. Establish Baselines & Build KPI Infrastructure	2. Gaps + 2030 targets	3. Action Plans & Investment Roadmaps	4. Implement and Report
Month 1-3	Month 4-5	Month 5-7	Month 8+
• **Collect** 2024 baselines for NatCat, sovereign carbon intensity, protection gaps • **Integrate data sources** (policy systems, EM-DAT, income datasets, WRI/IEA) into a single view • **Define KPI methodologies** and standard reporting templates	• **Benchmark** Allianz against AXA, Zurich, Swiss Re • **Identify gaps in NatCat coverage, sovereign alignment and financial inclusion** • Draft **2030 KPIs** for the three core metrics	• **NatCat expansion plan** for priority markets • **Sovereign portfolio decarbonization pathway** (-20% carbon intensity by 2030) • **€10–15bn transition finance roadmap** (allocation by sector and product) •Protection-gap **program design** (for vulnerable segments)	• Roll out internal **KPI dashboard** and governance • Launch **pilot interventions** in priority markets (NatCat, sovereign, inclusion) • Publish **annual sustainability KPI progress** • Conduct **2-year protection-gap reviews**
• Baseline dashboard • KPI definition handbook • Data integration plan	• Gap assessment & risk analysis • Draft KPI targets • Prioritized markets / product segments	• NatCat expansion strategy • Transition finance plan • Financial model / capital allocation roadmap	• Implementation plan and live internal dashboard • Annual sustainability KPI report • 24-month review & recalibrated target

Guiding Principles

- **Data-driven & evidence-based**
- **Coherent and realistic with industry standards**
- **ESG leadership**
- **Transparency & comparability**

Who Needs to Be Involved to Deliver the Strategy?

INTERNAL	EXTERNAL

INTERNAL

- **Risk Committee / Group ESG Board** – governance, approvals and escalation
- **Group Sustainability & business-unit sustainability teams** – overall design and coordination
- **Risk, actuarial & NatCat product owners** – pricing, modelling and portfolio impacts
- **Group Investment Management, PIMCO, AllianzGI** – sovereign-bond portfolio and transition-finance allocations
- **Retail & Emerging Consumers lines + IT/data teams** – microinsurance products and KPI measurement

EXTERNAL

- **Regulators & supervisors (e.g. BaFin, EIOPA)** – alignment with Solvency and climate/ESG disclosure rules
- **Development banks & donors** – co-funding microinsurance and resilience programmes (especially for the 5m low-income target)
- **NGOs & community organizations** – on-the-ground delivery of literacy, early-warning and resilience programmes
- **Data & model providers** (MSCI, S&P, catastrophe-risk modelers, national stats offices) – inputs for KPI tracking and risk analytics

Collaboration + **Alignment**